# EXHIBIT A

FULL TEXT OF BOND MEASURE

for

LOS BANOS UNIFIED SCHOOL DISTRICT

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**Los Banos School Repair Bond***

In order to repair/upgrade aging classrooms, science labs, career technology and school facilities to support college/career readiness in math, science, technology, arts, engineering, and skilled trades; fix deteriorating roofs, plumbing, HVAC, and electrical systems; and construct school facilities/classrooms to relieve overcrowding; shall Los Banos Unified School District's measure authorizing $99,000,000 in bonds at legal rates be adopted, levying approximately $32/$100,000 assessed value ($5,000,000 annually) while bonds are outstanding, with independent audits/oversight and local control?

## INTRODUCTION

The Los Banos Unified School District (the "District") is located in Merced County, California. The District operates sixteen school campuses, including one transitional kindergarten center, nine elementary schools, two junior high schools, two high schools, one independent study campus, and one continuation high school. The District's area equals approximately 640 square miles serving approximately 11,242 students. The District was established in 1965 and has several aging schools lagging significantly behind today's standards, with obsolete and failing infrastructure systems and it faces other challenges to its capacity to adequately house all of its students. The District has an ongoing need for facilities and infrastructure, including District-wide repair and replacement of deteriorating and leaky roofs, plumbing that backs up with sewage, gas lines that leak, and failing electrical systems. Other essential needs include District-wide safety improvements including fire alarms, smoke detectors, emergency communications, fencing, and security cameras. The District also has a need for modernization of outdated classrooms and science labs to meet rising college admission requirements and improve instruction in science, technology, engineering, arts, math and skilled trades. The District needs to relieve severe overcrowding by constructing a new elementary school. A much larger, and much longer-term solution to address issues of growth and facilities upgrades and refurbishment of aging facilities, is the consideration of the District asking the voters to approve a General Obligation Bond.

The State of California requires a local match, funded primarily through local, general obligation bonds, for school districts wishing to pursue matching state funds for the upgrade or replacement of school buildings and facilities. The millions of dollars potentially available through the State match allows local taxpayers to benefit from the tax dollars they already pay to Sacramento.

It is imperative that our students are housed in educational environments consistent with the District's priority to provide school facilities that are safe, attractive, and appropriate for learning. The District needs to act locally to provide clean, safe, and modern facilities to ensure our students have the educational opportunities they deserve, and a school environment the community can take pride in.

As required by the California Constitution, the proceeds from the sale of the bonds will be used only for the purposes authorized under Article XIIIA of the California Constitution, including construction, reconstruction, rehabilitation, or replacement of school facilities, furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities, as specifically set forth in this Measure, and costs incident thereto, and not for any other purpose, including salaries and other routine school operating expenses.

The following list describes the specific projects the District proposes to finance with proceeds of the bonds. The scope of specific projects, the order of construction, and their completion is contingent on final project costs and the availability of needed funds. Further, projects on the project list are of the type that issuing the authorized general obligation bonds as stated will not cause the State to reduce any financial hardship contribution that would otherwise be available to the District had these bonds not been authorized, issued, and or expended for their stated purpose.

The Board of Education hereby certifies that it has evaluated the safety, class-size reduction, and information technology needs of the District in developing this list of school facilities projects.

## SCHOOL FACILITIES PROJECTS TO BE FUNDED FROM BOND PROCEEDS

**Scope of Projects**. Bond proceeds will be expended on the construction, modernization, reconstruction, rehabilitation, replacement, equipping, furnishing or otherwise improvement of school facilities of the Los Banos Unified School District. Additionally, funds may be utilized for the acquisition or lease of real property for school facilities, and not for any other purpose, including teacher and administrator salaries or other school operating expenses, in compliance with California Constitution Article XIIIA, Section 1(b)(3). This Measure authorizes bond projects to be undertaken at all current and future District school sites.

**School Facility Project List.** The items presented on the following list are the types of projects authorized to be financed with voter-approved bond proceeds. Examples included on this list are not intended to limit the broader types of projects described and authorized by this Measure. The types of projects authorized are:

- Remove hazardous materials like asbestos and lead pipes, where encountered
- Provide modern labs and career technical facilities and equipment so students are prepared for college and in-demand careers including agricultural sciences, engineering, technology, and skilled trades
- Upgrade schools to meet current health codes, building safety codes, and to provide proper access for students with disabilities

- Repair/Replace deteriorating roofs, plumbing, gas lines, sewer lines, electrical systems, and other facility infrastructure systems, where needed
- Create modern, multi-use classrooms to support hands-on science instruction and learning-by-doing
- Update technology infrastructure systems
- Upgrade classrooms, labs, and technology where needed to support high-quality instruction in math, science, engineering, and technology
- Construct an additional elementary school to relieve overcrowding in local schools
- Replace portable classrooms that are expensive to repair and maintain with modern, permanent classrooms that meet today's academic standards
- Repair, upgrade classrooms and facilities where needed to support high-quality instruction in music, visual, performing arts, and physical education facilities, sports fields, and playgrounds to support student health, and safety
- Create a central kitchen to efficiently provide healthy meals to students at every school
- Repair and modernize existing facilities as needed

Incidental Expenses. Each of the bond projects described in this project list include the costs of furnishing and equipping such facilities, and all costs which are incidental but directly related to the types of projects described above. Examples of incidental costs include, but are not limited to: costs of design, engineering, architect and other professional services, facilities assessments, inspections, site preparation, utilities, landscaping, bond project construction management, administration and other planning and permitting, legal, accounting and similar costs; independent annual financial and performance audits; a customary construction contingency; demolition and disposal of existing structures; the costs of interim housing and storage during construction including relocation and construction costs incurred relating to interim facilities; the preparation or restoration of construction, renovation or remodeling; rental or construction of storage facilities and other space on an interim basis for materials and other equipment and furnishings displaced during construction; costs of relocating facilities and equipment as needed in connection with the projects; interim classrooms and facilities for students, administrators, and school functions, including modular facilities; federal and state-mandated safety upgrades; addressing unforeseen conditions revealed by construction/modernization and other necessary improvements required to comply with existing building codes, including the Field Act; access requirements of the Americans with Disabilities Act; and costs of the election; bond issuance costs; and project administration during the duration of such projects, as permitted by law.

Furnishing and Equipping. Each project is assumed to include its share of furniture, fixtures, equipment, architectural, engineering, and similar planning costs, program/project management, staff training expenses and a customary contingency for unforeseen design and construction costs. In addition to the listed projects stated above, the list also includes the acquisition of a variety of instructional, maintenance and operational equipment, including the reduction or retirement of outstanding lease obligations and interim funding incurred to advance fund projects from the list; installation of signage and fencing; payment of the costs of preparation of all facility planning, facility studies, assessment reviews, facility master plan preparation and updates, environmental studies (including environmental investigation, remediation and monitoring), design and construction documentation, and temporary housing of dislocated District activities caused by construction projects. The upgrading of technology infrastructure includes, but is not limited to,

computers, projectors, portable interface devices, servers, switches, routers, modules, sound projection systems, printers, digital white boards, document projectors, telephone system, call manager and network security/firewall, wireless technology systems and other miscellaneous equipment and software.

Alternations to Scope; New Construction. The scope and nature of any of the specific projects described above may be altered by the District as required by conditions that may arise during the course of design and construction. In the event that a modernization or renovation project is more economical for or otherwise determined by the Board to be in the best interests of the District to be undertaken as new construction, this bond Measure authorizes said new construction including land acquisition, relocation and construction at a new or alternative site, and/or demolition and reconstruction and/or repurposing on the original site, including an expanded site, and all costs relating thereto. In addition, this Measure authorizes the acquisition of real property, including necessary rights of ways or other real property interests, required to expand District facilities, to provide access to school or other District facilities, or to provide additional school or related facilities. For any project involving rehabilitation or renovation of a building or the major portion of a building, the District shall be authorized to proceed with new construction instead, if the Board of Education determines that replacement and new construction is more economically practical than rehabilitation and renovation, considering the building's age, condition, expected remaining life, and other relevant factors.

Interim Financing Included; Joint Use Projects Authorized. Authorized projects include paying and/or prepaying interim or previously obtained financing for the types of projects included on the project list, such as bond anticipation notes, and includes prepayment of lease payments to acquire title to facilities and/or equipment previously financed. Projects may also be undertaken on a joint use basis with other public entities, and such projects may include participation in the State Facility Program's Joint-Use Program to gain matching funds for teacher education, multi-purpose rooms, gymnasiums, libraries, childcare, and other qualifying joint-use facilities. With respect to such joint-use projects, the bond funds authorized by this Measure may be used to pay all of the local share needed to qualify the projects for special State matching funds under the State Facility Program's Joint-Use Program requirements.

Bond Project List Not in Order of Priority; Board Determines Prioritization. Approval of this bond Measure does not guarantee that the proposed projects will be funded beyond the local revenues generated by the Measure. The District's capital needs currently exceed the amount of bonds the voters are being asked to authorize. The order in which particular projects are listed is not intended to suggest priority for funding or completion, and itemization of projects in the list above does not guarantee that all such projects will be undertaken. Project priorities will be determined by the Board of Education. The ability of the District to undertake and complete the listed projects is subject to numerous variables including the adequacy and availability of sufficient funding sources. The District is unable to anticipate all unforeseen circumstances which may prevent some of the projects listed above from being undertaken or completed.

Interpretation. The terms of this bond Measure and the words used in the project list shall be interpreted broadly to effect the purpose of providing broad and clear authority for the officers and employees of the District to provide for the school facilities projects the District proposes to finance with the proceeds of the sale of bonds authorized by this proposition within the authority provided by law, including Article XIIIA, Section 1(b)(3) of the California Constitution, Education

Code Section 15000 *et seq.* and the Strict Accountability in Local School Construction Bonds Act of 2000. Words used in the project list such as repair, improve, upgrade, expand, modernize, renovate, and reconfigure are used to describe school facilities projects in plain English but are not intended to expand the nature of such projects beyond what is authorized by law. As such, in accordance with legal requirements, the project list does not authorize, and shall not be interpreted to authorize, expending proceeds of the sale of bonds authorized by this proposition for current maintenance, operation or repairs.

Severability. The District Board hereby declares, and the voters by approving this bond Measure concur, that every section and part of this bond proposition has independent value, and the District Board and the voters would have adopted each provision hereof regardless of every other provision hereof. Upon approval of this Measure by the voters, should any part be found by a court of competent jurisdiction to be invalid for any reason, all remaining parts hereof shall remain in full force and effect to the fullest extent allowed by law, and to this end the provisions of this bond Measure are severable.

## ACCOUNTABILITY MEASURES

If the bonds are approved, the Board of Education will implement the following accountability measures in accordance with State law:

(a) Use the bond proceeds only for the purposes authorized under Article XIIIA of the California Constitution, including construction, reconstruction, rehabilitation, or replacement of school facilities, furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities and related uses, as specifically set forth in this Measure, and costs incident thereto, and not for any other purpose, including salaries and other routine school operating expenses;

(b) Conduct an annual, independent performance audit to ensure that the bond proceeds have been expended only on the projects and uses listed in this Measure;

(c) Conduct an annual, independent financial audit of the proceeds from the sale of the bonds until all of those proceeds have been expended for school facilities projects and uses listed in this Measure; and

(d) Establish and appoint members to an independent citizens' oversight committee to ensure the bonds are used only for the projects and uses listed in this Measure.

The District shall create an account into which proceeds of the bonds shall be deposited and comply with the reporting requirements of Government Code section 53410.

*STATE MATCHING FUNDS*

California Education Code section 15122.5 requires the following statement to be included in this sample ballot:

> "Approval of this bond measure does not guarantee that the proposed projects in the Los Banos Unified School District that are the subject of bonds under this measure will be funded beyond the local revenues generated by this bond measure. The District's proposal for certain of the projects assumes the receipt of matching state funds, which are subject to appropriation by the Legislature or approval of a statewide bond measure."

**ANNUAL TAX AMOUNT, RATE, AND DURATION**

The bonds shall bear interest at an annual rate not exceeding the statutory maximum. The maturity of the bonds shall not exceed the maximum term allowed by law at the time of issuance (currently 25 years if issued under Education Code section 15140, or 40 years if issued under Government Code section 53508, so long as the bonds are not capital appreciation bonds ("CABs," which CABs are limited to 25 years)). Accordingly, as further set forth in the tax rate statement, the *ad valorem* tax will be levied at such rates and for so long as may be required to meet the debt service needs of the bonds proposed to be issued, including such bonds that may be issued to refund any approved bonds.